

Indian Pharma Industry

Why India ranks **14th** in terms of value?

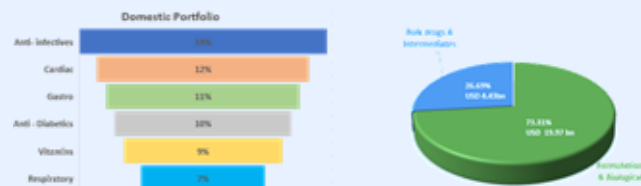


● **Ranking:** Vol: 3rd ; Value : 14th

● **Revenue** **INR 2,89,998 Cr**

Export : 1,46,260 Cr

Import : 42,943 Cr



Domestic : Export

2017 52 : 48

2021 47 : 53

Generic formulations are double-edged sword , they are responsible for making India the 3rd largest exporter but focusing on only generic exports brings it down to 14th rank in terms of value.

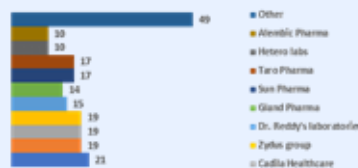
What is India's Investment strategy ?

Need to focus on Innovation

Focus on Generics

● India bagged 33% of total USFDA ANDA approvals.

ANDA approvals (33% of total ANDA approvals)



● Alkem and Aurobindo have bagged the maximum/ ANDA approvals

● US is a **lucrative** market –

1. Increased push to prescribe generics to contain Healthcare costs
2. Threatening Patent expiry – leading to opportunity for India

Increase in competition in US distributors leading to price erosion. Hence cannot totally rely on basic generics alone

However, **complex generics** could be the key

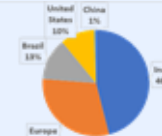
- ✓ Less Competition
- ✓ High Margin
- ✓ 11-12% of ANDA approvals

Vaccines & Biosimilars

Biosimilars
Biosimilar seem to exhibit tremendous scope for growth

● Indian with 93 approvals is leading and is far ahead of China

● Indian companies like BIOCON generated INR 1951 Cr only from biosimilars tapping US and EU markets



India leads global vaccine market with a 60% share . It is further strategizing to boost vaccines development

● **Strategic Focus & Budget**

INR 900 Cr for vaccine development with a focus on incremental vaccines

● **Fundings**

Received from DBT, ICMR, MoHW.

● **Agreements**

MoUs between ICMR and IVI to increase vaccine R&D

New Drug Development

3 Indian pharma companies are investing heavily in NDD.

● **Suven Life sciences**

Space - CNS (cognitive impairments)
Investment – 311.2% of its revenue
Stock Gain – 127 % over the last year

● **Wockhardt**

Space – NCE , NDD, Biosimilars
Investment – 66.9% of its revenue
Stock Gain - 52% over the last year

● **Alembic Pharma**

Space – Dermatology, Cancer Injectable
Investment – 14% of its revenue
Pipeline – 200 products in pipeline

Other companies investing in R&D

Company	R&D Expenses	% of Turnover
Lupin	13,477.50	11.5
Dr. Reddy's Laboratories	13,104.00	9.8
Sun Pharma	10,374.10	8.3
Cadila Healthcare	9,184.00	12.3
Aurobindo Pharma	8,404.60	5.3
Cipla	8,254.90	5.7

Government Initiatives

Blended Finance will increase scope for innovation and pave way for Startups and employment opportunities

Steps to make India independent by increasing investment through PLI schemes and increased FDI

Reduction in customs duty will facilitate more production by SMEs in the pharmaceutical sector

Through various initiatives govt aims to accelerate prodn & regulatory approvals and innovation



FY 21-22 – Annual Budget INR 86,200Cr

- SPI scheme – INR 500 Cr
- PLI scheme – INR 6940 Cr
- PLI scheme – INR 196000 Cr (Over 5 years)
- Pharmaceutical mfg – INR 15000 Cr
- FDI 100% - Greenfield projects
- FDI 74% - Brownfield projects



Government Initiatives

- Atmanirbhar Bharat 3.0 mission,
- COVID Suraksha
- Development of 3 pharma parks in Punjab
- Global Innovation Summit for Pharmaceuticals



Customs, Tax and Blended Finance

- Reduction & exemption of customs duty on selected products, needles and life saving drugs
- No deduction on freebies and largesse offered to doctors by pharma companies
- Blended Finance Mechanism wherein only 20% government share and private fund managers

INDIA – UAE (CEPA Agreement)



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The latest India - UAE agreement signed between India and UAE strengthens and gives access to UAE drug market

UAE - \$ 8.8 bn by 2029

- 90 days automatic registration and Mkt Authorization
- Fast & Time bound approval of drugs approved by developed economies
- Employment generation** – 10 lakh jobs
- Access to ME markets** – Revival of FTA with GCC will access to UAE, Saudi Arabia, Kuwait, Bahrain, Qatar and Oman, and Africa
- UAE serves as a potential opportunity Rising investments for health expenditure, inclination towards innovation.

India – Australia (ECTA Agreement)



India - Australia (ECTA Agreement)

Will give access to underutilized Australian pharma market worth

Australian market - \$12 bn

- Despite such huge potential; India currently exports only \$345 mn
- MRA (Mutual recognition agreement to be negotiated for Pharma products)
- Fast track approval for patented, generic and biosimilar medicines using the Comparable Overseas Regulator pathway
- Fast track quality inspections of manufacturing facilities

Formation of Quad (Trilateral SupplyChain Resilience)



Formation of **QUAD**, to develop partnership and enhance co-operation across several issues of mutual concerns

- Trilateral Supply Chain resilience initiative with Australia and Japan
- Aims to enhance supply chain resilience in Indo-Pacific region
- Attract investments including diversification of Supply Sources
- Promotion of Domestic manufacturing
- To attract FDI in region and strengthen mutually complementary relationships

Mergers & Acquisition

India has seen a major trend of increase in M&A in the last 5 years which points towards Indian firms aiming to increase its production capacity, expand its presence in other countries and strengthen its capacity across the various components of the entire pharmaceutical supply chain

Glenmark with SaNOtize to mfg market & distribute NO Nasal Spray for Covid

Pharmeasy acquired Thyrocare, Raised \$300 mn

Piramal Pharma acquire 100 % stake in Hemmo pharmaceuticals

Piramal Pharma is investing \$32 million for expanding its Michigan facility in the US for mfg of API

SII to invest GBP 240mn in UK expanding its vaccine (GBP 1 bn India- UK enhanced trade partnership)

Luxembourg's B Medical System to start a refrigerated vaccine transport plant in Gujarat to ensure last mile drug delivery

6 Indian generic drug makers –signed deal with Hidalgo (Mexico) to set up clusters for prodn & logistics.

These three agreements are a strategic move to remove dependency on China. These FTA's couple with the current strong presence in USA, UK, Africa and Russia exhibit India's potential to become a major pharmaceutical layer in the world.

Pharma and Technology

R&D

Procurement

Production

Regulatory

Distribution
Supply chain

AI
Data

Cloud based platforms,
Analytics, Automation

IOT,
Predictive Analytics

Cloud based
platforms

AI, Blockchain,
AR, Cloud,
Control Towers

Indian Pharma companies specially the MNCs can benefit by leveraging technology across the value chain to increase productivity and efficiency. To maintain the strong global presence, Indian companies have to invest in technologies like AI, Data, Cloud Based platforms, IOT, AR, Blockchain, Predictive analytics to maintain low cost, maximize productivity and improve the quality of the drugs being manufactured